

Question 1 of 13

Question ID: 1575129

Which derivative markets feature novation by a central clearinghouse?

- ☐ **A)** All exchange-traded and over-the-counter derivatives markets.
- ☐ **B)** Exchange-traded derivatives markets, but not over-the-counter derivatives markets.
- ☐ **C)** All exchange-traded derivatives markets and some over-the-counter derivatives markets.

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Cash flows related to futures margin *least likely* include:

☐ **A)** interest on the margin loan.

☐ **B)** deposits to meet margin calls.

☐ **C)** interest received on collateral.

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Fred's Securities writes a call option on Acme stock with an exercise price of \$40. The call option premium is \$5. On the expiration date, the price of Acme stock is \$43. Fred's profit or loss on this position is a:

☐ **A)** loss of \$2.

☐ **B)** loss of \$5.

☐ **C)** profit of \$2.

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Which of the following parties to an over-the-counter derivatives contract *least likely* faces counterparty risk, assuming the contract is not subject to a central clearing mandate?

- ☐ **A)** The writer of a put option.
- ☐ **B)** The seller in a forward contract.
- ☐ **C)** The pay-floating party in a swap.

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Which of the following derivatives positions replicates investing at the risk-free rate?

- ☐ **A)** Holding an asset and a short position in a forward contract on the asset.
- ☐ **B)** Holding an asset and a long position in a forward contract on the asset.
- ☐ **C)** Selling an asset short and holding a short position in a forward contract on the asset.

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Compared to an asset with no net cost of carry, holding costs that are greater than benefits:

- ☐ **A)** increase the no-arbitrage price of the forward contract.
- ☐ **B)** decrease the no-arbitrage price of the forward contract.
- ☐ **C)** have no effect on the no-arbitrage price of the forward contract.

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An implied 1-year forward rate two years from now can be determined based on:

☐ **A)** 1-year and 2-year spot rates.

☐ **B)** 1-year and 3-year spot rates.

☐ **C)** 2-year and 3-year spot rates.

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The price of an interest rate futures contract is *most likely* to differ from the price of an otherwise identical interest rate forward contract if:

- ☐ **A)** their prices exhibit convexity bias.
- ☐ **B)** interest rates are uncorrelated with futures prices.
- ☐ **C)** the forward contract requires daily mark-to-market cash flows.

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In which of the following ways is an interest rate swap different from a series of forward rate agreements (FRAs)?

- ☐ **A)** The FRAs that replicate an interest rate swap have nonzero values at initiation.
- ☐ **B)** The fixed rate is known at initiation for an interest rate swap but not for a series of FRAs.
- ☐ **C)** In a swap both parties pay cash each period, while in a series of FRAs the parties only exchange the net cash flows.

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The price of a swap contract:

- ☐ **A)** remains constant throughout its life.
- ☐ **B)** equals the present value of the expected future floating-rate payments minus the present value of the future fixed-rate payments.
- ☐ **C)** equals the present value of the future fixed-rate payments minus the present value of the expected future floating-rate payments.

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Reasons why the no-arbitrage approach to pricing options is different from the no-arbitrage approach to pricing forward commitments *least likely* include that:

- ☐ **A)** options have one-sided payoffs, while forward commitments have two-sided payoffs.
- ☐ **B)** Many forward commitments are exchange-traded derivatives, while most options are over-the-counter derivatives.
- ☐ **C)** options have positive values at initiation, while forward commitments typically have a value of zero at initiation.

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The value of a call option on a stock is *most likely* to decrease as a result of:

- ☐ **A)** an increase in asset price volatility.
- ☐ **B)** a decrease in the risk-free rate of interest.
- ☐ **C)** a decrease in the exercise price of the option.

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A European call option is equivalent to a portfolio consisting of:

- ☐ **A)** a short position in a forward contract, a long position in a put option, and a short position in the risk-free asset.
- ☐ **B)** a long position in a forward contract, a short position in a put option, and a long position in the risk-free asset.
- ☐ **C)** a long position in a forward contract, a long position in a put option, and a short position in the risk-free asset.